

## *EU and US will likely deepen policy support for grid tech*

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### 【メール原文】

Non-Chinese grid tech producers will likely gain expanded policy support in the EU and US. For components like inverters, transformers, switchgear, cables, high-voltage direct current (HVDC) transmission infrastructure, and other power electronics, EU and US policy efforts to reduce supply chain dependence on China are likely to gain momentum. Compared to other core elements of the electric stack, these components are more feasible candidates for a meaningful expansion in non-China production capacity and export competitiveness.

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Policymakers in Brussels and Washington will expand efforts to encourage non-Chinese production of grid tech components—including inverters, transformers, and switchgear—where cyber vulnerabilities are highest.

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EU and US firms have an easier pathway to de-risk these cleantech segments from China than other parts of the electric stack like solar or batteries.

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New US restrictions on inverter imports will drive non-Chinese producers to expand US-based production, and the role of transformers in the data center buildout will also make them a priority in Washington.

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Cyber risks associated with Chinese grid tech inputs will be a key driver of this push. These technologies concentrate many of the most acute cyber risks for new energy systems, and de-risking efforts here can be most effective for system safety. For example, a non-Chinese solar inverter can control a Chinese solar panel; non-Chinese battery management software can control a Chinese battery system. Many of these components are the “smart” elements of future power grids, despite representing a relatively small share of total energy system investment.

Europe is better positioned for this expansion than the US. A clear demand signal for European suppliers will come from multiple complementary policy pushes (see graphic). Europe has a stronger incumbent industrial base in this space than the US, which remains import-dependent for most grid tech segments. Europe also has market mechanisms like the possibility of negative power prices that send strong investment signals for grid and storage operators (see: Wholesale electricity costs will fall sharply before 2030 , 9 July 2026). The possibility of expanded grid tech exports will be another driver of EU support.

Cyber-driven US policy will push more US-based production commitments. On 28 July, the Federal Communications Commission (FCC) announced an import ban on future inverter models from all foreign providers, with an exemption application process. That process will favor non-Chinese inverter producers and will explicitly require those firms to outline their plans for US manufacturing expansion (see graphic). With Chinese inverters likely to continue facing a more restrictive long-term environment in the US, non-Chinese players will be open to expanding US production capacity.

For the US, one possible medium-term policy incentive for grid tech is modification of 45X advanced manufacturing tax credits for grid tech components. For inverters specifically, existing 45X credits are more geared toward small-scale residential inverters rather than utility-scale inverters. Other potential vehicles for policy support for emerging grid tech segments include financing through the Department of Energy's Office of Energy Dominance Financing or the Department of Defense's Office of Strategic Capital, though so far these offices have not focused on grid tech. Market pressures will also push US power developers to procure more non-Chinese grid tech inputs to maintain compliance with the "Material Assistance Cost Ratio" for non-Chinese inputs to US power projects (see: Guidance on Chinese cleantech keeps renewable tax credits within reach , 19 February 2026).

Washington is likely to develop more creative forms of support for the transformer sector. Transformers are a bottleneck for both data centers and new power capacity—two key priorities for the Trump administration. US firms are particularly active in developing solid-state transformers for AI data centers, which could become a growing area of US export competitiveness and serve some functions of both transformers and inverters.

Medium-term watchpoints for the EU policy outlook include whether negotiations in 2026-2027 or subsequent reviews bring more grid technology components within the Industrial Accelerator Act's (IAA) EU-origin rules or tighten the EU-origin thresholds for technologies already covered. Under the European Commission proposal, IAA requirements vary by technology and will phase in over one to six years after entry into force. A second watchpoint is whether lawmakers adopt the proposed Cybersecurity Act 2 (CSA2) high-risk supplier framework without narrowing its scope. The commission's proposal would allow Brussels to designate high-risk suppliers and bar specified entities across the EU from using their components in designated key assets. However, member states want greater control over both supplier designations and implementation, reflecting concern that Brussels will encroach on national security competencies. The European Council outcome on CSA2 will partly determine the IAA's practical reach in energy markets.

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